END SEMESTER EXAMINATION, JUNE – 2021

FINANCIAL MANAGEMENT

MBA 202

Time : 2:00 Hrs. **Maximum Marks : 60**

Answer the following questions: **6 x 10**

1. Documents uncovered after the Exxon Valdez oil spill in Alaska revealed that Exxon could have used double-hulled oil tankers that would have prevented the spill, but the cost of refitting their fleet of single-hulled tankers was considered too high. Exxon determined that the cost of cleaning up an oil spill would be less than the cost of refitting the ships, thus increasing shareholder value. Several years after the oil spill, however, Exxon was fined billions of dollars for the spill. How do the costs of the cleanup and the fines pertain to a discussion of maximizing shareholder value and ethical responsibility?

2. John won the lottery on Monday and can take either Rs.50,000 per year for 20 years, or Rs.500,000 today. Bill won the same lottery on Tuesday and has the same options for receiving the cash. A well respected financial advisor is hired by both John and Bill. The advisor recommends that John take the Rs.50,000 per year for 20 years but advises Bill to take the Rs. 500,000 up front payment. How is it possible to give different advice to two clients regarding the exact same cash flows?

3. What are the implications for a firm's capital investment decisions of using a company-wide cost of capital when the firm has multiple operating divisions that have unique risk attributes and capital costs?

4. Comment about the reason behind popularity of MIRR over IRR.

5. Give an example of an option to delay a project. Why might this be of value?

6. Apex Retails Limited has its shares quoted in the market for last several years. Its beta is estimated to be 1.20. The yield on T - Bills is 5% and market return is expected to be 15%. Find the cost of equity for Apex Retail Limited.